

The way you can tell how much capitalization weighting costs investors is to compare these indexes to equal weighted indexes of the same stocks. Based on the returns during the past 40 years, equal weighting has beat market capitalization weighting by about 2 percent per year. One problem with equal weighting is that stock number 500 is much smaller than stock number 1, and if too many people try to do equal weighting, the amount of buying in the smaller stocks would distort their prices. Additionally, because prices are always changing, there are more transaction costs in maintaining an equal weighted index. Because of these problems, Rob Arnott came up with a fundamentally based index (the RAFI FTSE index), which weights companies based on the size of their sales, book value, cash flow, and dividends rather than their market capitalization. Because the weighting factors used in the index are correlated to company market capitalization, larger market capitalization companies will account for a larger percentage of the total index. And since price is not involved, errors are also random, similar to an equal weighted index, and the index performs about 2 percent better than capitalization weighted indexes.

So the fundamentally based index does about as well as an equal weighted index, but it can handle more money.

That is exactly right. We thought we could provide significant additional improvement by creating an index that allocated more money to cheaper stocks. All the existing value indexes, such as the Russell value indexes, are capitalization weighted. For example, the Russell 1000 value index will take a subset of the Russell 1000 companies (usually 650 stocks) that have the lowest price-to-book ratios and whatever other value factors they look at, but then they weight those stocks by market capitalization. In contrast, we are placing more weight on the cheaper companies, which is quite a different thing. We have found that by constructing an index this way, we could create an index that, over the past 20 years, would have beaten the S&P 500 by an average of 7 percent per year with the same beta and volatility.

In addition to indexes, we have put together more select funds with around 100 of the cheapest stocks, also weighted by cheapness. What is interesting is that in the first six months of this year, our Value Select